

S	E	R	V	E	D
August 16, 2017					
FEDERAL	MARITIME	COMMISSION			

FEDERAL MARITIME COMMISSION

DOCKET NO. 17-05

CMI DISTRIBUTION, INC.

v.

**SERVICE BY AIR, INC., RADIANT CUSTOMS SERVICES INC. (FORMERLY
KNOWN AS SBA CONSOLIDATORS, INC.) and LAS FREIGHT SYSTEMS LTD.**

ORDER TO SUPPLEMENT THE RECORD

On May 31, 2017, complainant CMI Distribution, Inc. (CMI) commenced this proceeding by filing a Complaint with the Secretary. CMI alleges that respondents Service by Air, Inc. (SBA), Radiant Customs Services Inc. formerly known as SBA Consolidators, Inc. (Radiant), and Las Freight System Ltd. (Las Freight) are non-vessel-operating common carriers (NVOCC) within the meaning of the Shipping Act. (Complaint ¶¶ 2-4, 8.) CMI alleges that “[b]etween April 2014 and June 2015, CMI engaged Respondents to provide transportation of more than 60 shipments . . . with Respondents from China to Illinois.” (Complaint ¶ 6.) CMI alleges that Respondents violated the Shipping Act of 1984 (Shipping Act or Act) on the shipments.

On June 26, 2017, Radiant/SBA filed a motion to dismiss the Complaint with exhibits. CMI filed an opposition to the motion with exhibits and Radiant/SBA filed a reply with exhibits. LAS Freight System Ltd. (LAS Freight) has not answered or otherwise responded to the Complaint or the motion, but has sent a letter to the Assistant Secretary that has been incorporated into the record. CMI and Radiant/SBA have filed a number of documents with their papers that require clarification of the record.

I. COMMISSION JURISDICTION OVER SHIPMENTS TO CANADIAN PORTS.

In their motion to dismiss, Radiant/SBA represent that respondent “LAS Freight engaged a series of China ocean transportation service providers which issued through bills of lading from China to SBA’s facility in Bensenville [Illinois] for the transports at issue.” (Motion at 2.) Radiant/SBA attached copies of bills of lading for twenty-seven shipments to their motion. Seven

of the bills of lading identify Canadian ports as the port of discharge. (*See* Radiant/SBA 001, 004, 008, 009, 015, 017, and 022.)¹

Radiant/SBA attached fifty-eight Customs and Border Protection (CBP) Forms 3461 to their Reply to CMI's response to the motion and state:

Notably, 18 of these CBP Forms 3461, or 31% of the total, document entries transported by the Canadian National Railroad into the U.S. after ocean carriage originated in China and terminated in Canadian ports. These could not possibly be the subject of NVOCC activities into the U.S. over which the Commission might assert jurisdiction.

(Reply at 5 (footnote omitted).)

Other than the fact that the eighteen referenced forms indicate that Canadian National Railroad transported the shipments, it is not clear how the CBP forms demonstrate that the transportation by water terminated in Canadian ports. I note that unlike the other CBP forms, the eighteen forms to which Radiant/SBA refer do not identify a vessel code/name, but they do identify a U.S. Port of Unlading. It is also not readily apparent to which shipment each CBP form refers. I note that each CBP form indicates Radiant certified the accuracy of the information on "07/17/17," which was after this proceeding commenced.

The Commission rule governing dispositive motions provides: "A reply may not raise new grounds for relief . . ." 46 C.F.R. § 502.70(c). In their motion to dismiss, Radiant/SBA did not argue that the Commission lacks jurisdiction over the shipments that did not enter the country through a United States port; accordingly, CMI has not had an opportunity to respond to this argument. Despite this failure by Radiant/SBA, lack of subject matter jurisdiction may be raised at any time in the proceeding and the Commission has no authority to entertain proceedings about transportation over which it does not have jurisdiction. Therefore, the parties are ordered to supplement the record as set forth below.

A. Order for CMI.

On or before August 30, 2017, CMI is ordered to supplement the record by responding to the following questions.

1. The Complaint refers to "more than 60 shipments . . . from China to Illinois" (Complaint ¶ 6) on which Respondents allegedly operated as NVOCCs. Does CMI contend that all of the shipments were transported by water between a port in a foreign country and a port in the United States?

¹ In its opposition to the motion, I note that CMI filed an LAS Freight bill of lading for the same shipment as Radiant/SBA 015. (*See* CMI Ex. 12 (container GLDU9071069).)

2. Prepare and file a list of the more than sixty shipments at issue and identify the port of discharge and the place of delivery for each shipment.
4. The Complaint alleges that Respondents were operating as NVOCCs on the shipments. (Complaint ¶ 8.) The Shipping Act defines an NVOCC as a common carrier. 46 U.S.C. § 40102(22). The Act defines a common carrier as a person who “uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country.” 46 U.S.C. § 40102(6)(A)(iii). If some of the more than sixty shipments to which the Complaint refers were not transported between a port in a foreign country and a port in the United States, does the Commission have jurisdiction over those shipments? What is the basis for that jurisdiction?

B. Order for Respondents.

On or before September 13, 2017, Respondents may file responses to CMI’s filing, noting any disagreement with the ports of discharge and places of delivery on the list prepared by CMI.

II. Customs and Border Protection Form 3461.

As noted above, CBP 3461 forms that Radiant/SBA attached to their reply indicate that Radiant certified the accuracy of the information on “07/17/17,” after CMI filed this proceeding. Further more, it is not clear how to connect a specific CBP Form 3461 to the shipment for which it is submitted.

A. Order for Radiant/SBA.

On or before August 30, 2017, Radiant/SBA is ordered to supplement the record by responding to the following questions.

1. On what dates did Radiant certify the accuracy of each CBP 3461 form filed with their reply?
2. What connects a CBP 3461 form to a specific shipment?

B. Order for CMI and LAS Freight.

On or before September 13, 2017, CMI and LAS Freight may file responses to SBA’s filing.

III. SETTLEMENT.

In the email from SBA to LAS Freight attached to the LAS Freight letter to the Assistant Secretary, SBA states: "Disregard This has been settled." (Email dated July 12, 2017 9:22 from SBA to LAS Freight.)

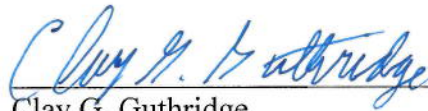
A. Order for Radiant/SBA.

On or before August 30, 2017, Radiant/SBA is ordered to supplement the record by responding to the following questions.

1. Have CMI's claims against Respondents been "settled" as stated in SBA's July 12, 2017, email?
2. If so, on what date did the parties settle?

B. Order for CMI and LAS Freight.

On or before September 13, 2017, CMI and LAS Freight may file responses to Radiant/SBA's filing.



Clay G. Guthridge
Administrative Law Judge